

ishly, but you rarely use a credit card wisely. That's a common myth.

However, if you are going to use credit cards, as most couples will, establish some fundamental rules and stick to them. I would suggest three basic rules:

(1) Use your credit cards **ONLY** for budgeted items. In other words, if it's not in your budget for the month, don't buy it on credit.

(2) Pay your credit cards off **EVERY** month. Never pay interest at credit card rates, which are usurious.

(3) The first month that you find you cannot pay off your credit card bills, destroy your credit cards and don't ever get any more.

If you follow these basic rules, credit cards won't become a source of financial bondage to you.

IS INTEREST A GOOD TAX BREAK?

Another common myth in our generation is that somehow interest is a good tax break. Let me illustrate why this isn't true. Let's assume that you're in a 25 percent tax bracket and you pay \$1,000 a year in interest. Let's further assume that you can claim the interest as a deduction against your income tax. The government will return \$250 of your tax dollars, right? What happened to the other \$750? As best I can tell, you lost it.

Let me make you a much better deal than that. If you'll give me \$1,000, I'll give you back \$900. So all it will cost you is \$100 to give me \$1,000. Isn't that a better deal? Of course it is, for me—just as the interest you pay is a better deal for the lender.

Paying interest is always a loss, and you need to be sure that you're not duped into thinking that somehow that's a good deal. It is not. Interest is still money out of your pocket, and unless you're in a tax bracket of more than 100 percent, you'll have a loss on every dollar paid. As Proverbs 14:18 says, "The naive inherit folly, but the prudent are crowned with knowledge."